

Killara HIGH SCHOOL

	2022 Higher School Certificate Trial Examination
Business Studies	
General Instructions ● Reading time - 5 minutes ● Working time – 3 hours ● Write using black pen Black pen is preferred ● Draw diagrams using pencil ● NESA approved calculators may be used ● Write your student number where required ● Use Multiple Choice Answer Sheet provided	Total marks - 100 Section I 20 marks ▪ Attempt Questions 1 - 20 ▪ Allow about 35 minutes for this section Section II 40 marks ▪ Attempt Questions 21 - 24 ▪ Allow about 1 hour and 15 minutes for this section Section III 20 marks ▪ Attempt Question 25 ▪ Allow about 35 minutes for this section Section IV 20 marks ▪ Attempt either Question 26 OR 27 ▪ Allow about 35 minutes for this section

This paper MUST NOT be removed from the examination room

Section I

20 marks

Attempt questions 1 - 20

Allow about 35 minutes for this section.

Use the multiple-choice answer sheet for Questions 1 - 20.

1. Which of the following is an example of involuntary separation?

- (A) Quitting
- (B) Resignation
- (C) Retirement
- (D) Retrenchment

2. Management of a credit union has decided to maintain flexible working arrangements which were introduced during the recent Covid-19 pandemic for their employees. They made this decision in response to improved worker morale as employees were happier and more productive when working from home.

This business has responded to which of the following influences on human resource management

- (A) Economic
- (B) Ethical
- (C) Legal
- (D) Social

3. Great Australian Pastries Ltd sells its *Punjabi Pies* in Australia and India. *Punjabi Pies* sold in India are completely vegetarian.

What is this an example of?

- (A) Customisation and hedging
- (B) Global pricing and standardisation
- (C) Customisation and global branding
- (D) Global branding and standardisation

4. In what type of market do Australian rice farmers sell their products?

- (A) Niche
- (B) Resource
- (C) Industrial
- (D) Intermediate

5. In response to increased demand, a steel manufacturer produces standardised steel bars to be used in construction sites across the country.

What has influenced the transformation process in this situation?

- (A) Variety
- (B) Volume
- (C) Visibility
- (D) Variation in demand

6. Justin observed a work colleague sleeping at their desk and reported this to his supervisor. As a result, Justin's employment was terminated.

What is this an example of?

- (A) Redundancy
- (B) Retrenchment
- (C) Unfair dismissal
- (D) Performance appraisal

7. The marketing manager at Teddy's Ties has discovered that a large percentage of regular customers find the new bow tie range outdated and unappealing.

At what stage in the marketing process should this have been identified?

- (A) Market research
- (B) Developing marketing strategies
- (C) Establishing marketing objectives
- (D) Implementation, monitoring and controlling

8. Which of the following includes two examples of transforming resources?

- (A) Materials and energy
- (B) Information and customers
- (C) Task design and technology
- (D) Human resources and facilities

9. Volkswagen advertised the VW Golf as a car that is fun to drive and is more reliable and dependable than its competitors.

What strategy is Volkswagen using?

- (A) Positioning
- (B) Personal Selling
- (C) Opinion leader
- (D) Public Relations

10. A solicitor has been recruited by a large law firm. She negotiated a salary of \$300,000, a superannuation package, a company car, and a mobile phone.

Which of the following contracts is likely to be used by the employer?

- (A) Modern Award
- (B) Enterprise Agreements
- (C) Common Law Contract
- (D) Legal Award

Question 11 and 12 refer to the following information

Over the Moo is a new brand of non-dairy coconut ice cream specifically manufactured for people who are lactose intolerant. The following data is based on the Company's Income Statement, ending 30 June 2022.

Total sales revenue	\$1,800,000
Net profit ratio (Net Profit ÷ Sales)	5%
Gross profit ratio (Gross Profit ÷ Sales)	35%

11. What is the value of the cost of goods sold for *Over the Moo*?

- (A) \$ 90,000
- (B) \$ 540,000
- (C) \$ 630,000
- (D) \$ 1,170,000

12. A SWOT analysis was conducted for *Over the Moo*.

Which of the following is an opportunity?

- (A) The cost of refrigeration to store the product
- (B) Competition from dairy ice cream manufacturers
- (C) Growing community demand for dairy free ice cream
- (D) High quality product in a wide variety of flavours

13. A business uses pop-up ads on websites as part of its marketing strategy.

This is an example of which of the following elements of the marketing mix?

- (A) Product
- (B) Price
- (C) Place
- (D) Promotion

14. Operations decisions will vary depending on whether the business is making standardised or customised goods.

What are standardised goods?

- (A) Non-specialist activities that provide a customer with a standard service
- (B) Mass produced goods that are uniform in quality
- (C) Goods varied according to the needs of the customer
- (D) Goods that require robust packaging through production and distribution

Use the following information to answer Question 15

Selected cash information for Murray Bus Lines

Item	February	March	April	May
Cash inflows	\$50,000	\$40,000	\$45,000	\$60,000
Cash outflows	\$40,000	\$50,000	\$50,000	\$45,000

15. If the cash balance at the start of February is \$10,000, what is the closing cash balance for the end of May?

- (A) \$20,000
- (B) \$35,000
- (C) \$15,000
- (D) \$10,000

16. Which of the following is a form of long term borrowing issued by a company for a fixed rate of interest for a fixed period of time?

- (A) A mortgage
- (B) A commercial bill
- (C) An overdraft
- (D) A debenture

17. There is interdependence between operations and the other three key business functions.

Which key business function is interdependent with operations when operations processes focus on quality that results in products being sold at higher prices and generating higher revenues?

- (A) Customers
- (B) Finance
- (C) Employees
- (D) Outsourcing

18. What does performance management include?

- (A) Developing strategies to improve the way a business operates to improve efficiency
- (B) Systematically evaluating and managing employee performance in order to achieve the best outcome for the business
- (C) Planning for future human resource needs both at the managerial and non-managerial level
- (D) Designing a job by determining how it will interact with other jobs and employees in such a way as to motivate and retain an employee

19. Which of the following would be an advantage of hedging?

- (A) It allows a business to export more easily
- (B) It increases a business' access to foreign markets
- (C) It allows business to increase the use of derivatives to expand
- (D) It decreases the financial risk associated with currency exchanges

20. The table shows, for 2021 and 2022, the number of viewers of four television programs and the total number of viewers at the times when the programs were shown.

Program	2021		2022	
	Program viewers	Total television viewers	Program viewers	Total television viewers
1	250, 000	1,000,000	275, 000	1,150,000
2	275, 000	1,250,000	275, 000	1,200,000
3	300, 000	1,400,000	350, 000	1,450,000
4	400, 000	1,400,000	400, 000	1,450,000

Which program had the largest increase in market share?

- (A) Program 1
- (B) Program 2
- (C) Program 3
- (D) Program 4

Section II

40 marks

Attempt Questions 21-24

Allow about 1 hour and 15 minutes for this section

Answer the questions in the spaces provided. The spaces provide guidance for the expected length of response.

Question 21 (10 marks)

TWG manufactures electrical appliances in Sydney. The business has been struggling to complete orders on time. It is experiencing an increase in consumer warranty claims and consumer complaints about poor quality products.

(a) Outline how measuring the number of warranty claims can assist a business assess the effectiveness of the operations functions.

2

(b) Examine how sequencing and scheduling tools can assist this business.

4

Question 21 is continued on the next page.

Question 21 (continued)

(c) Explain why controls are important in the operations process.

4

Question 22 (10 marks)

Nellie and Ellie are looking to open a business that manufactures and sells sports clothes and activewear for women. Being well-informed about all aspects of the market, especially the buying behaviour of potential customers, will place the business in a stronger position to achieve success.

(a) Outline ONE factor that can influence consumer choice for these products.

2

(b) Explain how consumer laws may influence the marketing practices of the business.

4

Question 22 is continued on the next page.

Question 22 (continued)

(c) How can this business conduct market research to gain information about its target market? 4

Question 23 (10 marks)

A business changes its organisation structure by outsourcing its human resource function. This decision has resulted in a number of conflicts between employers and employees.

(a) Identify TWO reasons for outsourcing the human resource function. 2

(i) _____

(ii) _____

(b) Explain how TWO indicators can be used by this business to measure the effectiveness of human resource management. 4

Question 23(continued)

(c) Explain how an increase in economic activity may impact Human Resources in a business. 4

Question 24 (10 marks)

Refer to the financial data for Wacky Widgets to answer question 24

Financial Data for Wacky Widgets Pty Ltd <i>For the period ending 30th June, 2022</i>		
Sales		850,000
Cost of goods sold		145,000
GROSS PROFIT		705,000
Operating expenses		
Wages	310,000	
Advertising	21,000	
Electricity	15,300	
Equipment Lease	27,600	
Sales & distribution	15,100	
Loan repayments	110,000	
Total Expenses	?	
NET PROFIT		206,000
<u>Financial Ratios</u> Gross Profit ratio = Gross Profit ÷ Sales Net Profit ratio = Net Profit ÷ Sales Expense ratio = Expenses ÷ Sales		

Additional Information

Industry Average Expense Ratio is 36%

Industry Average Net Profit Ratio is 50%

- (a) Calculate the expense ratio for Wacky Widgets Pty Ltd. Show all workings.

2

Question 24 is continued on the next page

Question 24 (continued)

(b) Discuss the profitability of Wacky Widgets.

4

(c) Why are *capitalising expenses* and *normalised earnings* considered limitations of financial reports?

4

This is the end of section 11

Section III

20 marks

Attempt Question 25

Allow about 35 minutes for this section

Answer the questions in a separate writing booklet. Extra writing booklets are available.

In your answer you will be assessed on how well you:

- demonstrate knowledge and understanding relevant to the question
 - apply the hypothetical business situation
 - communicate using relevant business terminology and concepts
 - present a sustained, logical and cohesive response in the form of a business report
-

Question 25 (20 marks)

Jumbo-Movies Pty Ltd operates a cinema complex in a large shopping centre in Western Sydney. In response to a decline in the popularity of traditional forms of entertainment with people under 30 years of age and the growing demand for more home based entertainment options (including streaming services like Netflix), the owners decided to sell the business.

The new owners have set a goal for management to increase profits by 20% within the first 12 months.

A recent review of the business revealed:

- cinemas floors are often wet and slippery
- the cinema environment (including staff uniform) appears run down and outdated
- the broken coffee machine took 6 months to be replaced
- regular errors occur with the new ticketing machines
- employees complained about having to work through their lunch breaks
- some employees are unhappy with the level of training received on the new machines

You have been employed to write a report for the new owners of Jumbo-Movies Pty Ltd. In your report, you should:

- Describe the role of operations management for this business.
- Demonstrate how legal regulation and corporate social responsibility can influence operations management in this business.
- Recommend TWO human resource management strategies that Jumbo-Movies could use to improve the business performance.

Section IV

20 marks

Attempt Question 26 OR 27

Allow about 35 minutes for this section

Answer the question in a separate writing booklet. Extra writing booklets are available.

In your answer you will be assessed on how well you:

- demonstrate knowledge and understanding relevant to the question
 - apply relevant business case study/studies and contemporary business issues
 - communicate using relevant business terminology and concepts
 - present a sustained, logical and cohesive response
-

Question 26 (20 marks)

Evaluate the importance of financial management strategies that a business can adopt to manage global financial risks and influences.

OR

Question 27 (20 marks)

Evaluate global marketing strategies a business can apply to its marketing plan to suit overseas markets.

Student number:

**Business Studies Trial HSC Examination
Multiple Choice Answer Sheet**

General Instructions

*Choose the MOST correct answer A, B, C, or D by filling in the response circle completely.
Attempt all questions.*

Question	A	B	C	D
1	☐	☐	☐	☐
2	☐	☐	☐	☐
3	☐	☐	☐	☐
4	☐	☐	☐	☐
5	☐	☐	☐	☐
6	☐	☐	☐	☐
7	☐	☐	☐	☐
8	☐	☐	☐	☐
9	☐	☐	☐	☐
10	☐	☐	☐	☐
11	☐	☐	☐	☐
12	☐	☐	☐	☐
13	☐	☐	☐	☐
14	☐	☐	☐	☐
15	☐	☐	☐	☐
16	☐	☐	☐	☐
17	☐	☐	☐	☐
18	☐	☐	☐	☐
19	☐	☐	☐	☐
20	☐	☐	☐	☐